will lead to a sameness in public sector banks that successive Gyan Sangams [*Author's note: An annual government conference to deliberate public sector bank strategy*] have criticized.

Management efforts to tighten practices are also needed. Far too many loans are done without adequate due diligence and without adequate follow up. Collateral when offered is not perfected, assets given under personal guarantees not tracked, and post-loan monitoring of the account can be lax. The lessons of the recent past should be taken seriously, and management practices tightened. A more stringent approach to evaluating and recovering large loans will give bank management the credibility when they go to their staff with plans for cost rationalization.

(ii) Talent

The middle-management ranks of public sector banks are being thinned by retirements. In addition, they need experts in specific areas like project evaluation and risk management. At the same time, banks have to reduce bloated cost structures. All public sector entities across the world tend to pay more than the private sector to lower level employees, and less than the private sector to higher level employees. This makes it hard for them to attract top talent, but makes it easier to attract good people at lower levels.

Rather than seeing these as difficulties, perhaps they can be opportunities. In the RBI, we find that our compensation packages enable us to attract very highly qualified applicants at the Class III level. Perhaps part of the solution is to enable such new hires, with technology and training, to do far more responsible work than they were given in the past, and give them a brighter prospect of movement up the officer ranks. Banks can also use the opportunity offered by retirements to reorient hiring towards the skills they need, and to offer